



NITI Aayog

Strategy for

New India@75

STRATEGY FOR NEW INDIA @ 75

MODULE - 15



15

CIVIL AVIATION

OBJECTIVES

- Enhance **affordability of flying** to enable an increase in domestic ticket sales from 104 million in 2016-17 to 300 million by 2022.
- **Expand airport capacity** more than five times to handle one billion trips a year.
- Enhance availability and affordability of regional air connectivity and revive/upgrade 56 unserved airports and 31 unserved helipads through the **Regional Connectivity Scheme-Ude Desh Ka Aam Naagrik (RCS-UDAN)**.

- Ensure that airport tariffs, taxes on fuel, landing charges, passenger services, cargo and other charges are determined in an efficient, fair and transparent manner.



15 CIVIL AVIATION

PRESENT SCENARIO



- As per World Economic Forum's Global Competitiveness Report, 2018, India is ranked at 53rd out of 140 countries worldwide in air transport infrastructure.
- AAI aims to bring around 250 airports under operation across the country by 2020.
- UDAN is a 10-year scheme, which will promote balanced regional growth and make flying affordable for the population.
- It will help enhance connectivity to the country's unserved and underserved airports.



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CIVIL AVIATION

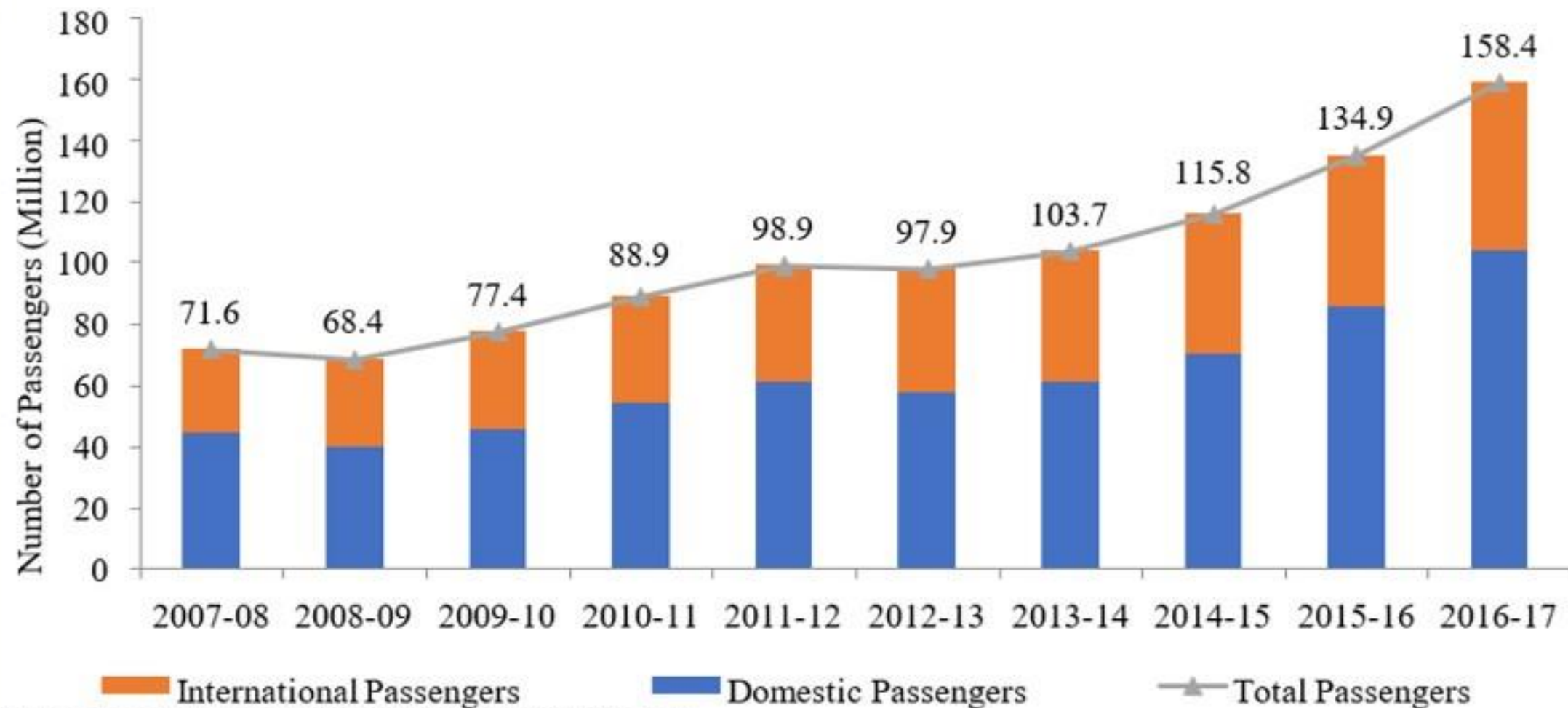
PRESENT SCENARIO



- Domestic passenger traffic increased at a CAGR of almost 10% between 2007-08 and 2016-17.
- International passenger traffic grew at a CAGR of 8% during the same period.

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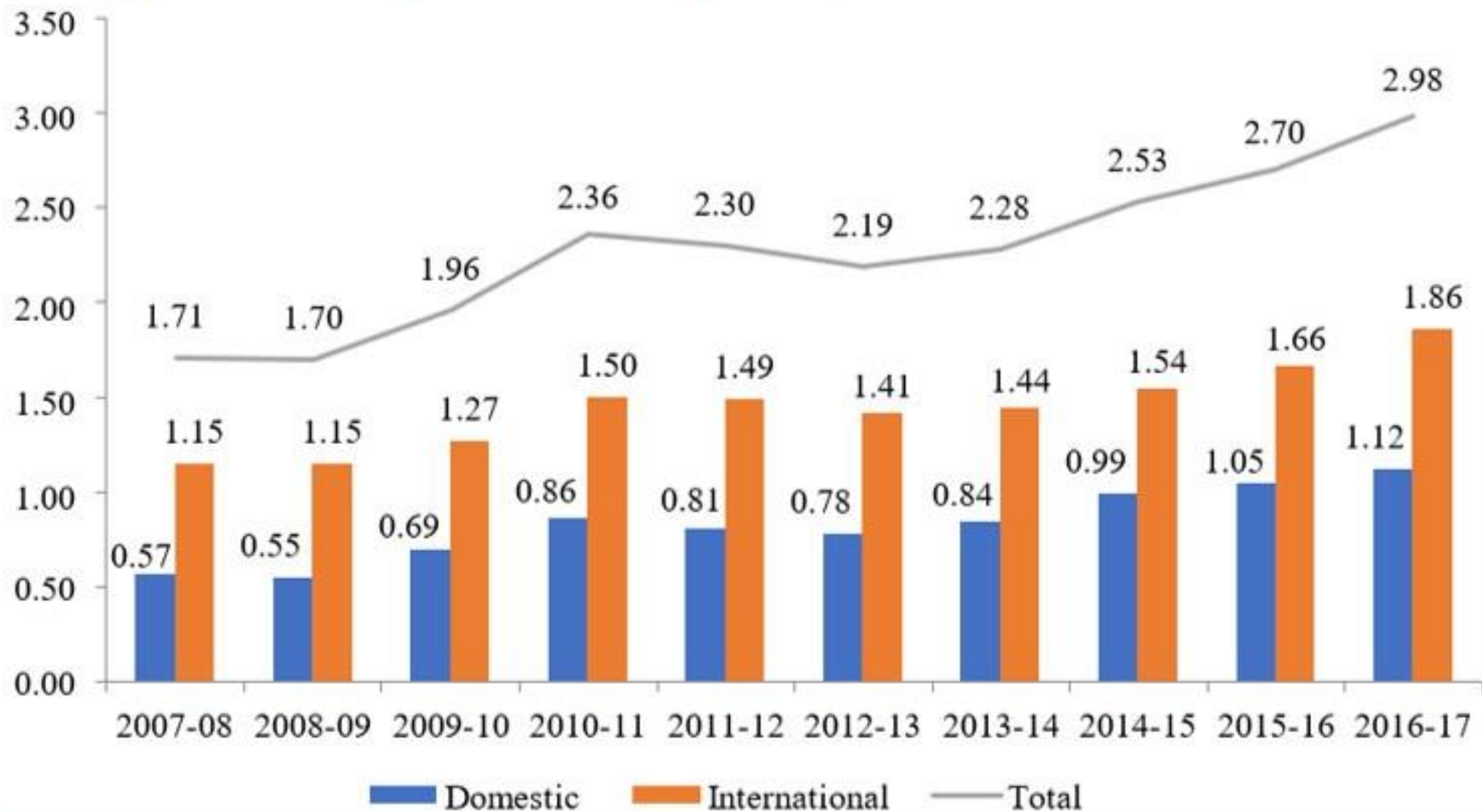
Passenger traffic by scheduled carriers, 2007-08 to 2016-17



Source: Hand Book on Civil Aviation Statistics 2016-17

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Freight transported by air, 2007-08 to 2016-17





CONSTRAINTS

1 CAPACITY AND INFRASTRUCTURE

- Airspace, parking bays and runway slots will become increasingly scarce over the next few years, especially at Metro Airports.
- Capacity and infrastructure constraints could decrease efficiency and safety and will have negative economic effects.
- Unavailability of land, especially in big cities is another problem.
- In big metros, second airport may be justified, but, in other cities because of low passenger volumes, second airport may not be justified.

2 SKILLED WORKERS

- Indian Aviation could directly support 1.0 to 1.2 million jobs by 2035.
- This implies that about 0.25 million persons will need to be skilled over the next 10 years.
- There is shortage and gaps in the availability of industry-recognised skills from airline pilots and crew to maintenance and ground handling personnel.



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CIVIL AVIATION

CONSTRAINTS

3

AVIATION GASOLINE

- AvGas is used as fuel by almost all training aircraft, this is imported.
- It attracts a tax of 18% under GST.
- Coupled with shortage of instructors, this makes flying training an expensive and time-consuming exercise.



4

TAXES ON ATF

- Due to high taxes and lack of competition among providers, ATF is expensive in India.
- Since it remains outside the GST network, there are also regional disparities in its price.
- Because of high Central and State Taxes, Aviation Turbine Fuel is high upto 60% in comparison to prices in ASEAN and Middle East countries.
- Fuel cost as a percentage of operating charges is 45% in India, as compared to the global average of 30%.



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CIVIL AVIATION

CONSTRAINTS

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**GST ON AIRCRAFT LEASES
& SPARE PARTS**

- GST of 5% is applied on aircraft lease rentals.
- It ranges between 5% and 28% on aircraft engines and spare parts.
- This also raises costs for the sector.



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AVIATION SAFETY

Although, the number of aviation safety violations in 2017 (337) has declined in comparison to 2016 (442), the absolute number still remains high.





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CIVIL AVIATION

WAY FORWARD

1

AVIATION INFRASTRUCTURE

- Complete planned airports under UDAN in a time-bound manner.
- Revival of 50 un-served and under-served airports/airstrips should be completed.
- In addition to completing two new airports for Delhi and Mumbai by 2022, infrastructure capacity in the 10 biggest airports should be augmented.

2

INCREASE INVESTMENT

- Give financial and infrastructure support.
- Reduce taxes on MRO (Maintenance, Repair and Overhaul) services and consider granting infrastructure status for MRO. It facilitates long-term investments at lesser interest rates.
- Increase aircraft parking infrastructure and facilities at metro airports.
- Monetize vacant real estate near AAI airports.



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CIVIL AVIATION

WAY FORWARD

3

ADDRESS SHORTAGE OF SKILLED MANPOWER

- Promote collaboration between Original Equipment Manufacturers (OEMs), industry and educational institutes to teach the latest concepts of the aviation industry.
- Formulate long-term plans for advanced research in aviation technologies.
- Expedite commencement of courses by the National Aviation University.
- Facilitate greater involvement of the private sector.

4

PROMOTE AIR CARGO GROWTH

- Promote “Fly-from-India” through the creation of transshipment hubs.
- Develop an integrated digital supply chain or e-cargo gateway based on the National Air Cargo Community System platform.
- Develop Cargo Sewa, a grievance redressal module linked to Air Sewa.



WAY FORWARD



सत्यमेव जयते

नागर विमानन मंत्रालय
MINISTRY OF
CIVIL AVIATION

5

EASE THE REGULATORY ENVIRONMENT

- Deregulate further and open up the aviation market to help increase passenger and freight traffic.
- Adopt a consistent model for tariff determination so that it reduces passenger cost.
- Bring Aviation Turbine Fuel under GST.
- Amend AAI Act to allow commercial usage of land with airports.
- Ensure DGCA acts as a truly independent regulator, with the Ministry of Civil Aviation focusing on policies.
- Meet the regulatory and security requirements prescribed by the International Civil Aviation Organization at all times.



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CIVIL AVIATION

WAY FORWARD



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PRIORITIZE AVIATION SAFETY

- Shift focus to pre-empting and preventing accidents/incidents.
- There should be **zero tolerance** of safety violations.
- DGCA should be given **autonomy** for an effective aviation safety oversight system.
- DGCA should continue ensuring **real time safety tracking** and prompt incident reporting.
- It should create a single-window system for all aviation related transactions, queries and complaints.

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